Atchison

Atchison Active 55 SMA

28 June 2024

PORTFOLIO PERFORMANCE

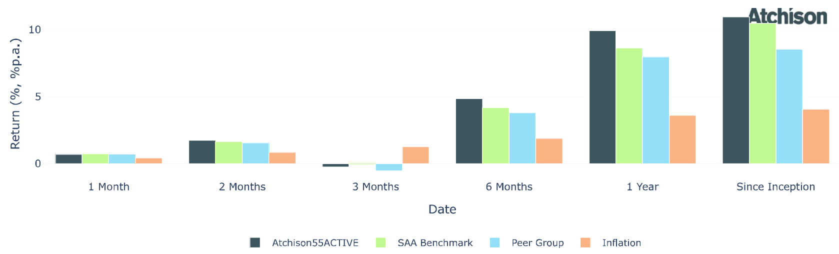
The Atchison Active 55 SMA delivered 0.7% for the month, and -0.2% over the quarter.

Over the last 12 months, the Atchison Active 55 SMA delivered 9.9%, significantly beating Inflation by 6.3%. Relative to the Peer Group (FE AMI Peer Average), Atchison Active 55 SMA has materially outperformed over the last 12 months.

Since inception of the strategy, the Atchison Active 55 SMA has delivered 10.9%, significantly beating Inflation by 6.9%. Relative to the Peer Group (FE AMI Peer Average), Atchison Active 55 SMA has significantly outperformed since inception of the strategy.

All performance metrics listed above are net of appointed investment management fees but before tax.

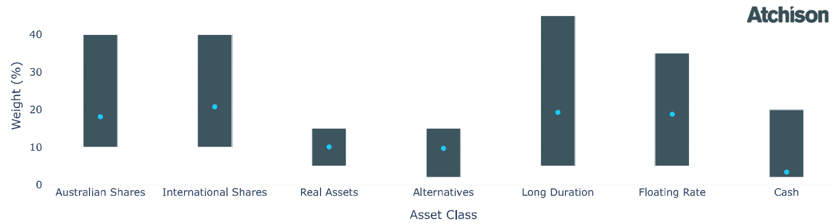
Returns vs Benchmarks



	1 Month	2 Months	3 Months	6 Months	1 Year	Since Inception
Atchison55ACTIVE	0.70	1.73	-0.24	4.84	9.91	10.94
SAA Benchmark	0.74	1.64	-0.08	4.18	8.62	10.46
Peer Group	0.70	1.55	-0.52	3.79	7.96	8.52
Inflation	0.42	0.84	1.27	1.87	3.59	4.07

Performance of $100,000 Investment

CURRENT POSITIONING vs TYPICAL HOLDING RANGE

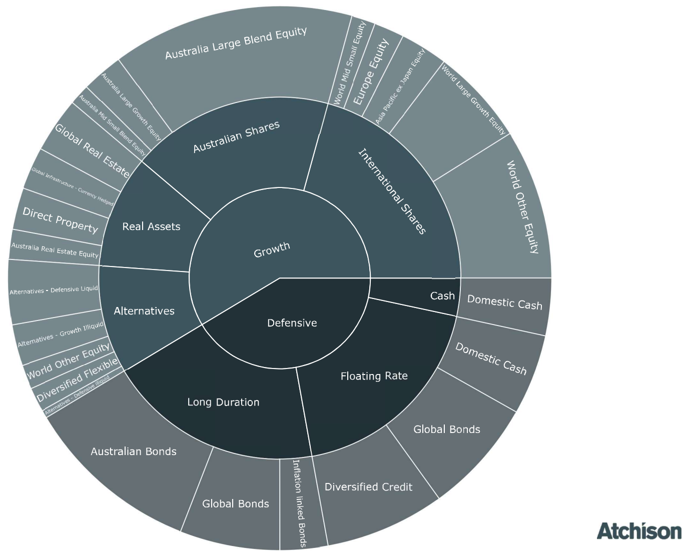


PORTFOLIO COMMENTARY

- On a weighted basis, the asset class that contributed to the most to the portfolio return was International Shares at (+7.99%)
- The asset class that contributed the least to portfolio return was Alternatives at (+0.56%)
- The asset class with the highest absolute return was International Shares (+40.49%)
- Whilst the asset class with the lowest absolute return was Long Duration (+5.43%)
- Attribution analysis relative to SAA shows Tactical Allocation Effect having the highest impact on value add at (+1.32%).
- Whereas, Manager Effect (net fees) was found to have a (+0.65%) impact on relative performance of the portfolio.

PORTFOLIO CONSTRUCTION

Portfolio Construction - Allocation Category



MARKET OVERVIEW - June 2024

- The Australian economy contracted for the quarter, with the S&P/ASX200 falling -1.05% over 3 months. Australia continues to be impacted by high inflation, elevated interest rates, weak consumer spending, poor China demand for Australian iron ore, waning labour productivity, rising unemployment at 4.0%, rising wage growth, and stagnating retail sales.
- High construction costs also continue to pressure rents and housing affordability, with housing construction lagging population growth, leading to increased demand and higher prices. Given the associated headwinds, the Reserve Bank of Australia (RBA) has maintained the cash rate target at 4.35%, and may hike rates later this year pending inflation data.
- The best performing sectors for the quarter include Utilities 13.27% and Financials 4.05%, whilst the worst performers were Energy -6.82% and Real Estate -6.00%.
- US share performance was mixed in Q2, driven by mega-cap tech names, but dragged lower by Materials -4.90%, Energy -3.19%, Real Estate -2.82%, and Healthcare -1.37%.
- The technology sector finished up 13.61%, thanks to AI-related optimism and chip makers, including, Nvidia 36.7%, Apple 22.8%, and Amazon 20.7%.
- Notably, while 78% of S&P 500 constituents were above their 50-day moving averages at the end of Q1, this figure dropped to approximately 46% by the end of Q2, highlighting the weakening of the broader market.
- The US Federal Reserve has maintained the federal funds rate between 5.25% to 5.50%, with Fed Chair Jerome Powell indicating that future rate cuts will only be considered if data convincingly shows inflation is on a sustained path towards the target 2%.
- The Chinese share market declined, with the CSI300 finishing down -3.73% for the quarter. Contractions in factory activity, depressed consumer sentiment, deflationary risks, prolonged property sector issues, cautious foreign investment, high youth unemployment, and a monstrous property crisis with 20 million pre-sold homes still unbuilt, continues to weigh on the 2nd largest economy. Contrastingly, Taiwan continues to shine up 32% year to date, benefiting from chip manufacturing through TSCM up 63% YTD, along with global exports.
- India demonstrated robust growth in Q2, with real GDP growing by 7.6% year-on-year, manufacturing expanding by 13.9% year-on-year, exports growing by 6.9% annually, imports increasing by 16.8% annually. India is benefitting from utilities / industrial growth, a thriving services sector, increased foreign investment, and a pro-business / pro-trade government.
- Japan showed modest GDP growth, bolstered by Financials, up 12.48% but inhibited by Real Estate -10.24%. Japanese property is on tenterhooks, as it battles a rise in interest rates, Tokyo oversupply of residential and office property in late 2023 and changing demographics with an aging population.
- The Eurozone continues to face ongoing challenges related to sticky inflation, high labor costs outpacing productivity, political instability from the European elections, subdued retail spend, and stagnant manufacturing numbers. The French index (the second largest Eurozone Index) CAC40 finished lower -8.00% for the quarter after French President Emmanuel Macron's decision to call a snap election following poor election results further exacerbated the situation.
- The UK exhibited a cautiously optimistic outlook post-recession, with recovery driven by falling inflation, rising household incomes, and improving consumer confidence. Inflation continues to trend towards the Bank of England's 2% target, potentially allowing for interest rate cuts later this year. Despite these positive developments, challenges remain, such as stagnant productivity and employment rates below pre-pandemic levels.

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